economy in terms of PPP. China became the largest defeating the US to the second position.

Human Development

Human resource is necessary for the progress of any country. The term 'human resources' refers to the collective abilities of people, which can be utilised in the production sector.

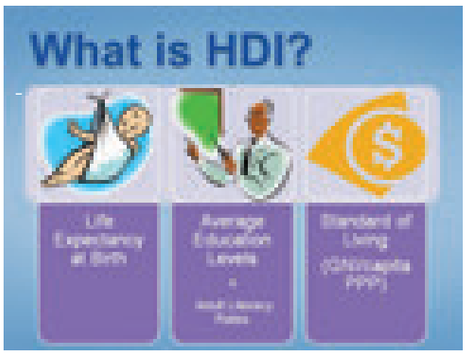
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Human resource development means the development of a person's physical and mental abilities through education, health care and training. Therefore, investment in education and health of people can result in a high rate of returns in the future for a country. For example, if a child is invested with good education and health, he or she may turn to be very productive in future in the form of higher earnings and greater contribution to the society. Human Development Index (HDI) which indicates all round development of the people in the society.

In the past, economists believed that the rate of economic growth of nations could be increased only by increasing investment in physical capital. But they have realised over time that investment in human capital is as important as investment in physical capital.



The Ministry of Human Resource Development is responsible for the development of human resources in India. Its headquarters is situated at Shastri Bhavan in New Delhi.t



1. 3 Sustainability of Development

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Sustainable economic development is taken to mean development without damaging the environment and not compromising with the needs of the future generation.

The consequences of environmental degradation do not respect to national or state boundaries. Sustainability of development is comparatively a new area of knowledge in which scientists, economists, philosophers and other social scientists are working together.

Natural resources can be divided into renewable resources and non-renewable resources.

Revenewable resources are replenishable. eg. Solar energy

Non renewable resources are non replenishable eg. Coal, Petroleum.

Groundwater is an example of a renewable resource. The question arises as to how sustainable development is possible if the resources are over-used rather than getting replenished. Non-renewable resources get exhausted after certain number of years of extracting and using them and they cannot be replenished.



Literacy rate of Tamil Nadu is the second highest among the southern states. Tamil Nadu's literacy rate is higher than the national average.

The enrolment for higher education in Tamil Nadu is the highest in India.

To achieve real sustainability, we need to balance economic, social and environmental sustainability in equal harmony.

In general, the question of development or progress is continuous. At all times, as a member of society and as individuals, we need to ask where we want to go, what we wish to become and what our goals are.

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